# Unit1 The economic problem and methodology

## 1.1 The nature and purpose of economic activity

- central purpose of economic activity
  - difference between needs and wants
    - needs are goods and services required for people to survive
    - wants are goods and services that people would like but are not required for them to survive
  - economic activity
    - production
    - distribution
    - consumption
  - production of goods and services to satisfy needs and wants
    - production invloves turning inputs, such as raw materials, capital and labour into final output
    - welfare is the satisfaction of utility obtained from consuming goods and services, which contributes to standard of living of individual or group
- key economic decisions
  - which goods and services should be produced and in what quantities
    - influenced by factors such as consumer preferences, technological advancements, available resources, and market trends
  - how should these good and services be produced
    - pertains to the methods, techniques, and technologies used to produce goods and services efficiently
    - choosing the optimal production processes, resource combinations, and technologies that will minimize costs while maximizing output
  - who should benefit from the goods and services produced
    - addresses the distribution of the goods and services produced among members of society
    - factors influencing this decision include income distribution, wealth disparities, social welfare policies, and economic systems
- primary,secondary and tertiary production
  - primary sector — extracting or acquring raw materials from the land
  - secondary sector — any construction and manufacturing activities
  - tertiary sector — providing services

## 1.2 Economic resources

- classification of economic resources
  - land — natural resources
  - labour — human resources
  - capital — man-made resources
  - enterprise — the person or group of people who take risks, make decisions and organises the production process
- renewable and non-renewable resources
  - renewable resources — can be replaced naturally after a period of time
    - trees
    - sunlight
    - water
  - non-renewable resources — cannot be replaced naturally after a period of time
    - limited in supply and can run out
    - coal
    - oil
  - environment if a scarce resource
    - limited in supply and has alternative uses
    - are not enough to satisfy our wants
    - production and consumption can both affect the environment

## 1.3 Scarcity, chioce and allocation of resources

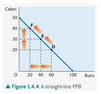
- fundamental economic problem---scarcity
  - the scarce resource are not enough to satisfy our many wants
  - result from limited resources and unlimited wants
- opportunity cost: the next best alternative forgone
  - choice are necessary
  - economic agent( a person, firm, organisation or government that has a role in the economy) will act rationally
  - individuals are motivated by self-interest( focusing on your own needs and wants)
  - rational behaviour — people will consider alternative choices and make decisions that will provide them with the most benefit, welfare or satisfaction
- allocation of resources in different types of economy
  - free market economy
    - decision about... are taken by buyers and sellers, with no involvement by government
    - price mechanism: the way in which the prices of goods and services are determined by the free market forrces of demand and supply
    - decisions are left to the private sector(the part of the economy not under government control
    - advantages and disdvantages
      - advantages
        - 1. efficient allocation of resources
        - 2. more competition and innovation
        - 3. more choices for buyers
      - disadvantages
        - 1. some people may not afford necessities → inequality
        - 2. free education and healthcare don't exist
        - 3. more pollution may be created
  - centrally planned economy
    - decisions about... are taken by the government
    - decisions are left to the public sector( the part of the economy under government control)
    - advantages and disadvantages
      - advantages
        - 1. a fairer distribution of goods and services
        - 2. more utilization of resources, contributing to sustainable development
      - disadvantages
        - 1. allocation may not match people's preference
        - 2. lack of incentives to work hard to produce better products
  - mixed economy
    - where some decisions about... are taken by buyers and sellers, and some decisions are taken by the government
    - both the private and the public sectors are involved, to some extent, in decision making

Economics: the study of how we use our scarce resources to satisfy our many wants
Microeconomics: the study of parts of the economy, including the behaviour of individuals, firms and industries

market: all the buyers and sellers of a good and service

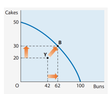
## 1.4 Production possibility diagrams

- resource allocation
  - Production possibility diagrams/Production possibility curve/Production possibility frontier :a curve showing the quantities that can be produced of two goods or services with the current state of technology, when resources are fully used.
- can be used to illustrate opportunity cost and trade-off
  - trade-off: where two things cannot be achieved at the same time, one must be sacrificed for another
- shape of the PPB
  - normally drawn bulging out(concave) from the origin→ some resources may be better at producing one good than other
  - straight line — the resources used in production can be perfectly and equally used to produce either of the two goods → opportunity cost are constant



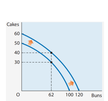
▲ Figure 1.4.4 A straight-line PPB

- using PPB diagrams
  - unemployment of economic resources
    - full capacity： when a firm, or an economy, is producing its maximum output form the available resources, given the current level of technology
    - spare capacity : where a firm, or an economy, has some resources not fully used



▲ Figure 1.4.5: Unemployed resources

    - On the Curve: Points on the curve represent efficient production levels where resources are fully utilized.
    - Inside the Curve: Points inside the curve indicate inefficient use of resources.
    - Outside the Curve: Points outside the curve are unattainable with current resources.
  - Outward change
    - Technological Advancements
    - Increase in Economic Resources
      - new technology → efficiency ↑ → more output
      - ↑ labour force, capital, new natural resources → ↑ availability of inputs



▲ Figure 1.4.6: Increased productive potential [cakes and buns]

  - Inward change
    - Natural Disasters — destroy physical capital,reducing the overall productive capacity
    - Depletion of Natural Resources — Over-exploitation → scarcity of essential inputs
    - Population Decline
      - aging population → ↓ labour force
      - ↓ workers available → ↓ economy's capacity
- productive and allocative efficiency
  - productive efficiency： when it is impossible to produce more of one good or service without producing less of another.
  - allocative efficiency: the combination of goods and services that best meets the preferences

## 1.5 Economic methodology

- economics as a social science — the study of society and the relationship between individuals in society
- normative and positive staement
  - normative statement: a statement based on a value judgement — 主观性，有可能带有ought，should等词语
  - positive statement — a statement that can be tested against the facts or evidence

equity:fairness

value judgement: a view anbout what is right or wrong, good or bad in a moral sense

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